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‘You don’t need to burn cash to scale up’

What was the problem you were grappling with?

It is a common belief in the start-up ecosystem that burning cash is the only way for fintechs to get customers on board. And a popular narrative is that consumer fintechs cannot turn profitable. The key stakeholders, including the investors, believe in this narrative.

Whom did you approach for advice?

To change this perception, especially about consumer-facing payments firms, it required a complete buy-in from the core team and the tying in of individual goals with the company’s vision. In 2019, I discussed this with my core team during an offsite and together we decided to be the front-runners in demonstrating that consumer fintech in India can scale and be profitable at the same time.

What was the advice you received?

The core team advised a cultural shift in the DNA of doing things and regular tracking of P&L. We also decided to invest in ROI-driven growth-oriented processes.

How effective was it in resolving the problem?

In FY19, we decided to become a fast-growing profitable

company. Within a year, we turned profitable (in FY20) at cash Ebitda level. Our BNPL segment has been profitable since inception. We achieved profitability at PBT level in the quarter ended December 2021 and, thereby, became the first Indian fintech to turn profitable. We have scaled to 120 million registered users, having spent only \$100 million since inception. The strategy of focussing on sustainable growth has helped us invest aggressively at the right places—people and technology—without incurring high cash burn and sacrificing growth. We have spent cumulatively ₹370 crore since FY19 to grow the revenue approximately 2.5x. We acquired 77 per cent users organically. **BT**

—**ALOKESH BHATTACHARYYA**

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